



Delta Plus - ALDLT
10/03/2025

Team Diversified #1



Agenda



1 Company Overview

2 Industry Overview

3 Investment Thesis

4 Valuation

5 Catalysts and Risks

6 Recommendation



Company Overview

Company Highlights

- **History** : Delta Plus Group was founded in 1977 by Jacques Benoit and has grown into a global leader in personal protective equipment (PPE). Recent key events include its entry into the U.S. market with ERB Industries, as well as strengthening its European and Latin American operations through acquisitions.
- **Valuation** : Over the past year, its market cap has declined by 19.16%. However, since 2000, the company's market capitalization has increased significantly, achieving a compound annual growth rate (CAGR) of 12.34%. In terms of financial performance, Delta Plus reported a revenue of \$460 million USD in 2023, reflecting a 3.14% increase from the previous year. The company has experienced consistent revenue growth over the years, with notable jumps such as a 15.63% increase in 2022 and 20.39% in 2020.
- **Strategy** : Through a series of strategic acquisitions, Delta Plus has expanded its presence across Europe (12,2%), the Americas, and Asia, strengthening its expertise in safety solutions for various industries.
- **Corporate Finance Transactions** : recent acquisitions include KStrong (2022), strengthening the company's expertise in fall protection equipment and Maspica (2022), expanding in the premium safety footwear segment.
- **Ownership**: J.B.P. SAS owns 55,07%, free float 26,71%, group owned stocks 2,67%.

Industry Data	Average
EV/EBITDA - 12.21	15,48x
EV/Revenue - 2.575	1.5x
P/E - 10.5	18x
Key Metrics	Unit
Gross Margin	55.07%
ROIC	7.53%
Debt to Equity	0.76
Cash ratio	
ROA	6.37%
Pretax Margin	10.36%

Revenue Mix	%	Gross (€mm)
Management revenue	55%	220.84
Performance fees	15%	60.23
Net financial income & other	20%	80.31
Technology	10%	40.15

Valuation & Share Performance

Key Valuation Statistics

Enterprise Value	€518.46M	Revenue (FY24)	€401.53M
Market Cap	€360.97M	EBITDA (FY24)	€60.16M
P/E	13.58x	EBITDA Margin '23	14.98%
EV/EBITDA	7.63x	Debt / EV	2.82x
Cash	€34.89M	Total Debt	€191.38M





Delta Plus Business Model

Operating Segments

Delta Plus operates in several key sectors, offering a diverse range of products and services within the personal protective equipment (PPE) market.

Construction: Delta Plus provides safety helmets, protective footwear, and clothing, as well as eye and hearing protection.

Industrial Manufacturing: The company provides gloves, safety shoes, and protective clothing designed to withstand demanding work conditions.

Logistics and Transport: In the logistics sector, Delta Plus provides specialized safety equipment for workers handling goods, operating machinery, and dealing with potential workplace accidents.

Healthcare: Delta Plus also focuses on the healthcare sector, offering PPE like medical gloves, face shields, gowns, and masks. The company's healthcare products are particularly important during health crises, such as the COVID-19 pandemic.

Key Figures

- Revenue for FY 2023: **€420.6 million (+0.1% vs. 2022)**
- Net Adjuster Income for FY 2023: **€38.6 million**
- Net Adjusted Income for Q3 2024: **€97.6 million**
- **3600** employees
- Assets Under Management : **€520.5 million**
- ETFs: **no publicly available**
- Market cap : **€360.97 million**
- Net income growth : **+11.1% for FY 2023**

Competitors



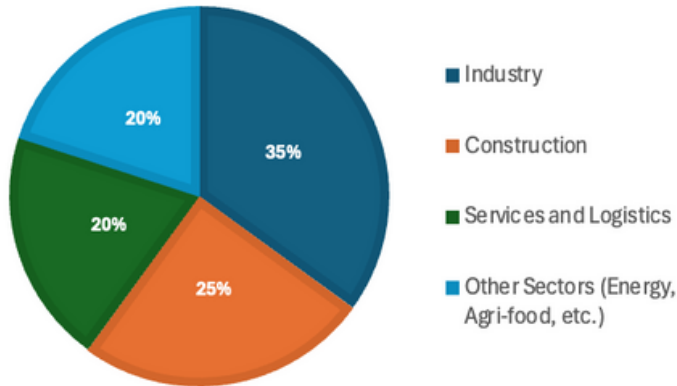


Operating Forecast

Revenue Drivers

Revenue & EBITDA Forecast

REVENUE MIX



Year	2021	2022	2023	2024E	2025E	2026E
Operating Income	€350.2	€370.1	€387.5	€400.8	€420.3	€440.2
Net Profit	€41.5	€39.8	€41.3	€44.0	€46.8	€50.2
Operating Income Growth %	5.2%	5.7%	4.7%	3.5%	4.8%	4.7%
Net Profit Growth %	6.0%	-4.1%	3.8%	6.5%	6.4%	7.3%
Total Adjusted EBITDA	€92.3	€98.1	€102.7	€108.4	€115.3	€122.5
EBITDA Margin %	26.3%	26.5%	26.8%	27.1%	27.4%	27.8%

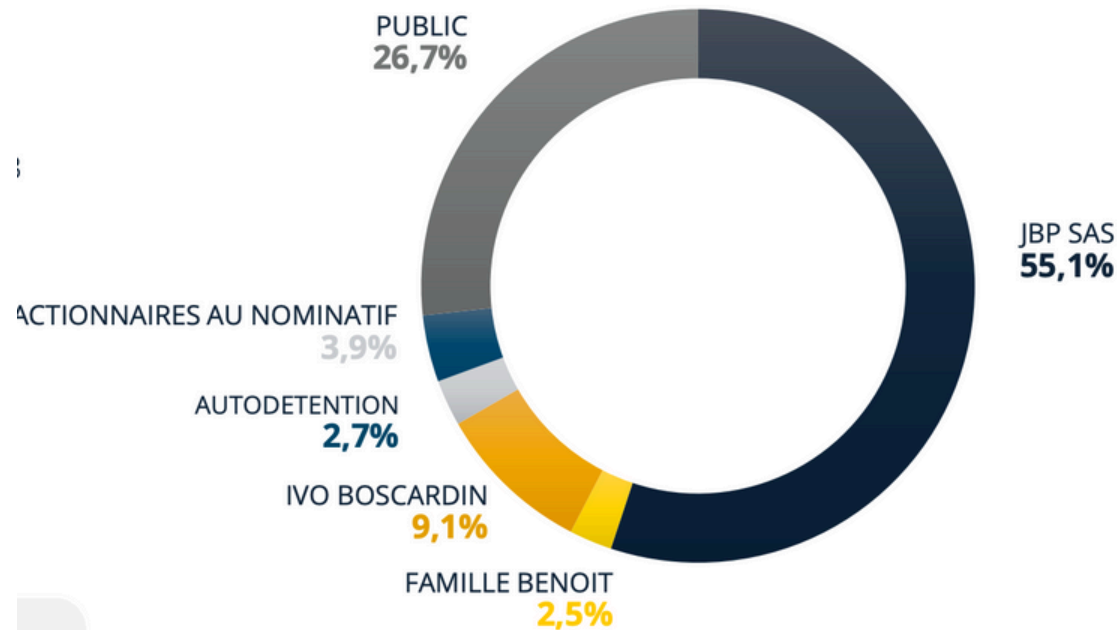
- **Growth:** In Q3 2024, Delta Plus recorded a +5.4% growth in net income compared to Q3 2023, driven by strong sales in Europe and North America.
- **Geographical distribution of sales**
 - Europe: €198.6m (-5.5% vs. 2023). The decline is most marked in the 1st quarter (-7.8%), but slows thereafter.
 - Outside Europe: 201.5 M€ (-4.3%), mainly affected by the devaluation of the Argentine Peso, which had a negative impact of -18.6 M€ on 1st half sales.
- **Factors influencing the revenue mix**
 - Exchange rate impact: Hyperinflation in Argentina weighed heavily on results, although partially offset by local growth.
 - Geographic and sector diversification: Despite an overall downturn, the Group's resilience is based on the diversity of its markets and products.
 - Year-end business growth: The 4.3% increase in Q4 2024 points to a stabilization and possible recovery in 2025.
- **Projected growth:** The company's EBITDA margin is expected to increase gradually to **27.8% by 2026**, reflecting improvements in cost efficiency and supply chain management.



Shareholder Ownership Analysis

Ownership Analysis

Delta Plus Group's ownership structure is dominated by JBP (55.1%), ensuring strong strategic control and long-term stability. Public shareholders (26.7%) provide liquidity, while Ivo Boscardin (9.1%) holds a key minority stake with potential influence. The Benoît family (2.5%) maintains a presence, reinforcing the company's legacy. Additional shares include self-held stock (2.7%) and registered shareholders (3.9%), contributing to stability. This balanced mix supports governance continuity, market confidence, and strategic flexibility for future growth.



31/12/2023



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○ Key Factors

Personal protective equipment (PPE) industry

1. Regulatory Environment

Safety regulations (e.g., OSHA, CE) drive PPE demand, as compliance is mandatory in many high-risk industries. Evolving regulations create opportunities for companies that stay ahead.

2. Market Growth and Economic Drivers

The PPE industry thrives with economic expansion in sectors like construction, manufacturing, and healthcare. Growth in emerging markets and urbanization boosts demand for industrial PPE.

3. Technological Innovation and Product Differentiation

Advancements in materials and design (e.g., advanced fabrics, connected PPE) enable companies to stand out. Innovation drives demand for higher-quality, specialized protective gear.

4. Economic Cycles and Demand Volatility

The PPE demand is cyclical, strongly tied to industrial activity. Economic downturns or slowdowns in key sectors can impact sales, while health crises (e.g., pandemics) can temporarily surge demand for specific PPE.



Business Overview - Competitive Landscape

○ Competitors and partners

• Competitors

Honeywell

Honeywell is a multinational conglomerate that provides advanced safety products such as respiratory protection, eye protection, safety gloves, and fall protection. The company serves diverse industries, including construction, manufacturing, and oil and gas, with a strong emphasis on innovation and technology.

Lakeland Industries

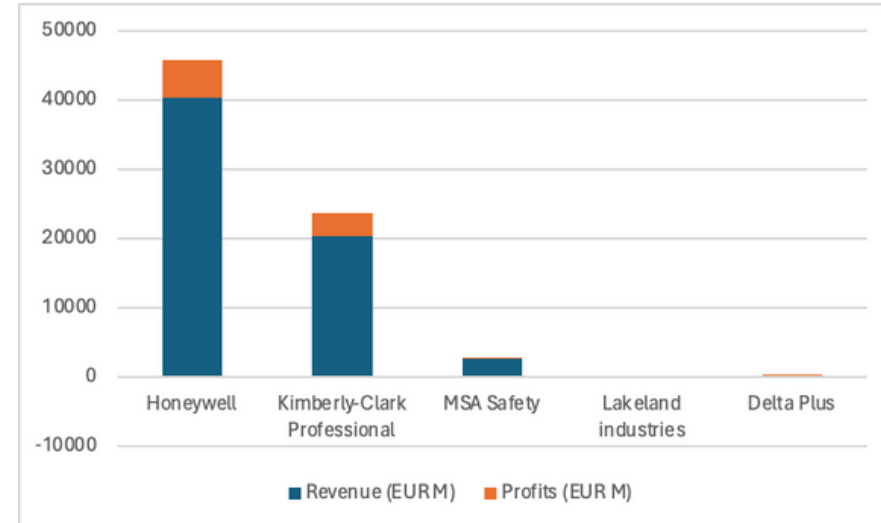
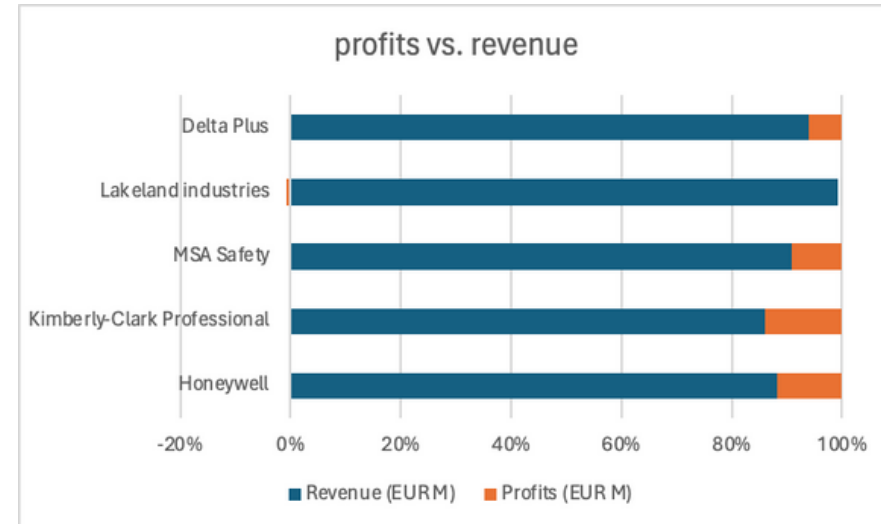
Specializing in protective clothing, Lakeland Industries offers solutions for hazardous materials handling, chemical protection, and flame resistance. The company serves a variety of industries, including healthcare, manufacturing, and emergency services.

Kimberly-Clark Professional

A leader in PPE for healthcare and industrial markets, Kimberly-Clark Professional produces disposable gloves, face masks, gowns, and protective clothing. Its products are widely used in healthcare, food processing, and other industrial applications.

MSA Safety

MSA Safety specializes in advanced safety equipment, including gas detection systems, head and eye protection, fall protection, and industrial helmets. It serves industries like construction, oil and gas, mining, and fire services, with a strong emphasis on safety and reliability.



Business Overview - Key Trends



○ Key trends for the industry

• Short term

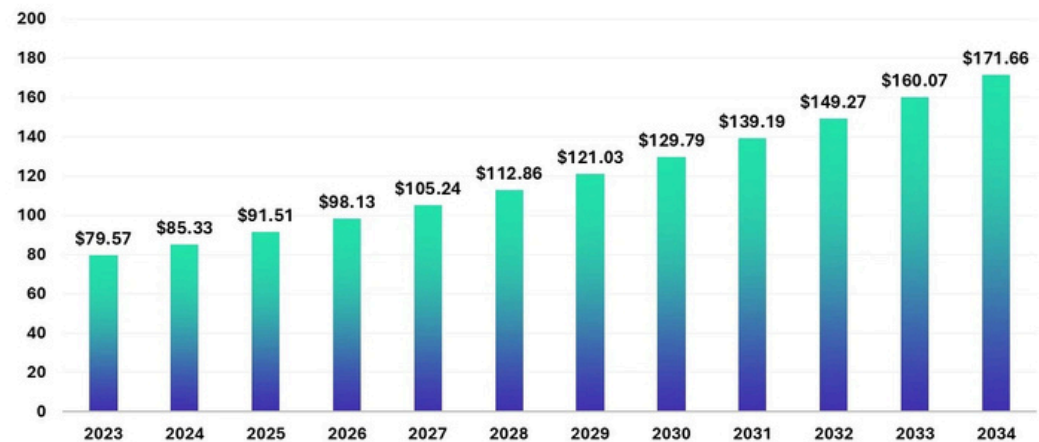
- Increased demand in healthcare: Driven by ongoing global health challenges, particularly for respiratory protection and sanitation-focused PPE
- Regulatory Compliance: Stricter workplace safety regulations will push the adoption of high-quality, compliant PPE in industries like manufacturing and construction
- Shortage of PPE and Supply Chain Challenges: Due to continued global demand and disrupted supply chains, many industries are facing challenges in securing sufficient PPE, leading to price increases and longer lead times

• Medium term

- Sustainability Focus: A rise in demand for reusable and environmentally-friendly PPE, especially as industries look to reduce waste
- Enhanced Comfort and Fit: PPE will evolve with improved materials and designs, prioritizing comfort to ensure longer use without compromising safety
- Growth in Manufacturing and Oil/Gas: As economic recovery progresses globally, demand for PPE will continue to rise in industries like oil, gas, and chemicals, where workers face high risks



Personal Protective Equipment (PPE) Market Revenue
2023 to 2034 (USD Billion)



Source: <https://www.towardshealthcare.com>

Europe : 33% of the market
CAGR : 7 to 13%

• Long term

- Smart PPE Integration: Incorporation of advanced technologies like IoT and AI in PPE for real-time monitoring and data-driven safety management
- Technological Advancements: Continuous innovation in materials to provide superior protection, particularly in highly specialized industries like pharmaceuticals



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Investment Thesis

Resilient and Growing Market

The personal protective equipment (PPE) market is valued at €45 billion. It is highly fragmented but benefits from strong structural growth driven by increasing regulations.

Strong Brands and Attractive Business Model

Delta Plus has well-established brands and a business model that is integrated, diversified, and appealing to investors.

Strong Leadership

The company is led by a talented CEO, Jérôme Benoit, whose track record is impressive and demonstrates effective management.

International Expansion Strategy

Delta Plus is focusing on global growth, particularly through targeted acquisitions, allowing it to expand its market reach.



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Historical Share Price Analysis

Key Events & Share Price Drivers



1 - **2021**: The stock reached its peak at approximately 103 EUR in August

2 - **2022-2023**: The company faced significant challenges, including a sharp drop in revenue (a 34.63% decline in the first half of 2023) and economic turbulence. This led to a major downturn in the stock price

3 - **Early 2024**: A decrease in overall sales by 4.9% compared to 2023, with European sales down by 6.6%. The company struggled with external economic factors such as geopolitical instability

4 - **Late 2024**: Delta Plus showed some signs of recovery, with a positive trend in the last quarter, posting a 4.3% increase in revenue compared to Q4 2023



Broker estimates

Broker Estimates	Target Prices (\$)	Upside (%)	Rating
Investir	€85	86,3%	Buy
TR	?	23%	Buy
Overall average (4 analysts)	€79,57	54,9%	4 buy



Comparables Analysis

Comparable Company Rationale

There are a few problems preventing a comparables analysis. The main obstacle is that Delta Group's main competitors and rival companies are either business units from larger groups with other significant activities, or either similar-sized but private companies, which makes the retrieving of key metrics like EBIT, EBITDA, etc... impossible.

Key similarities : These firms all produce PPE equipment, with a global distribution. However, Delta Plus is based in Europe, with half of its sale originating from the European market, whereas most of the other firms are American, and is of much smaller scale compared to the other listed firms.

Hypothesis : I took the 5-year average for the EBIT and EBITDA and the 3-year average for the Earnings and Revenue in order to avoid market volatility.

Precision : KCPPE's EV includes a control premium as it is its acquisition price by Kimberley Clarke, a consumer goods and personal care corporation.

Comparable companies	Price	Market Cap (\$B)	EV (in \$B)	EV/Sales	EV/EBITDA	EV/EBIT	P/E
KCPPE (PPE BU from Kimberley-Clark)	-	-	Objective : 98,1	0,64	2,35x	9,69x	9,69x -
3M	148,18	79,43	85,41	3,48x	15,61x	5,52x	20,15x
Honeywell International	218,08	130,17	160,99	4,18x	16,88x	21,18x	24,63x
DuPont	78,62	32,67	38,84	3,14x	12,67x	20,77x	44,15x
MSA Safety Incorporated	159,71	6,2	6,61	3,64x	13,61x	17,44x	21,91x
Ansell Limited	94,74	3,15	3,74	2,01x	12,80x	17,00x	27,05x
Delta Plus	50,8	0,373	0,5	1,21x	8,93x	10,06x	15,84x

Multiple used	Delta Plus Valuation (\$M)	Share Price		Low	1,21x	8,93x	5,52x	15,84x
EV/Sales	1182,591	\$160,71		Average	2,86x	12,88x	14,52x	25,62x
EV/EBITDA	721,6488429	\$98,07		High	4,18x	16,88x	21,18x	44,15x
EV/EBIT	722,0764571	\$98,13						
P/E	851,4079833	\$115,70						

EV/EBITDA is more relevant here : 98.07\$ per share = 91.04€



DCF Model Output

WACC Assumptions

Cost of Debt
6,53%

As of June 2024, the cost of debt for Amundi was 4.9M€, for a total book value of debts of around 75M€
=> Cost of Debt = $4,9/75 = 6,53\%$.

Risk Free Rate
2,83%

We use here the Germany 10Y rate

Cost of Equity
9,83%

We use here a 7% market premium, a bit higher than usual (small cap)

Weight of debt
20%

Market cap : 375 MEUR. Total debts : 75 MEUR
Weight of debt = $75/375 = 20\%$

WACC
8.84%

$$\begin{aligned} \text{WACC} &= (1 - \text{weight of debt} * \text{Cost of Equity} + \text{weight of debt} * \text{Cost of Debt} * (1 - \text{Tax Rate})) \\ &= (1 - 20\%) * 9,83\% + 20\% * 6,53\% * (1 - 25\%) \\ &= 8,84\% \end{aligned}$$



DCF Model Output

Terminal Value – Perpetuity Growth Method

2025 FCF : EUR 25 M

FCF growth for the next 5Y : 10%

Baseline Terminal FCF Growth Rate 0.50%

Baseline Terminal Value : EUR 443 M

Diluted shares outstanding : 7.358 M

Net debt : EUR 120 M

Baseline EV : EUR 558 M

Implied Share Price from DCF	59,51€	Premium to Current Share Price	16,67%
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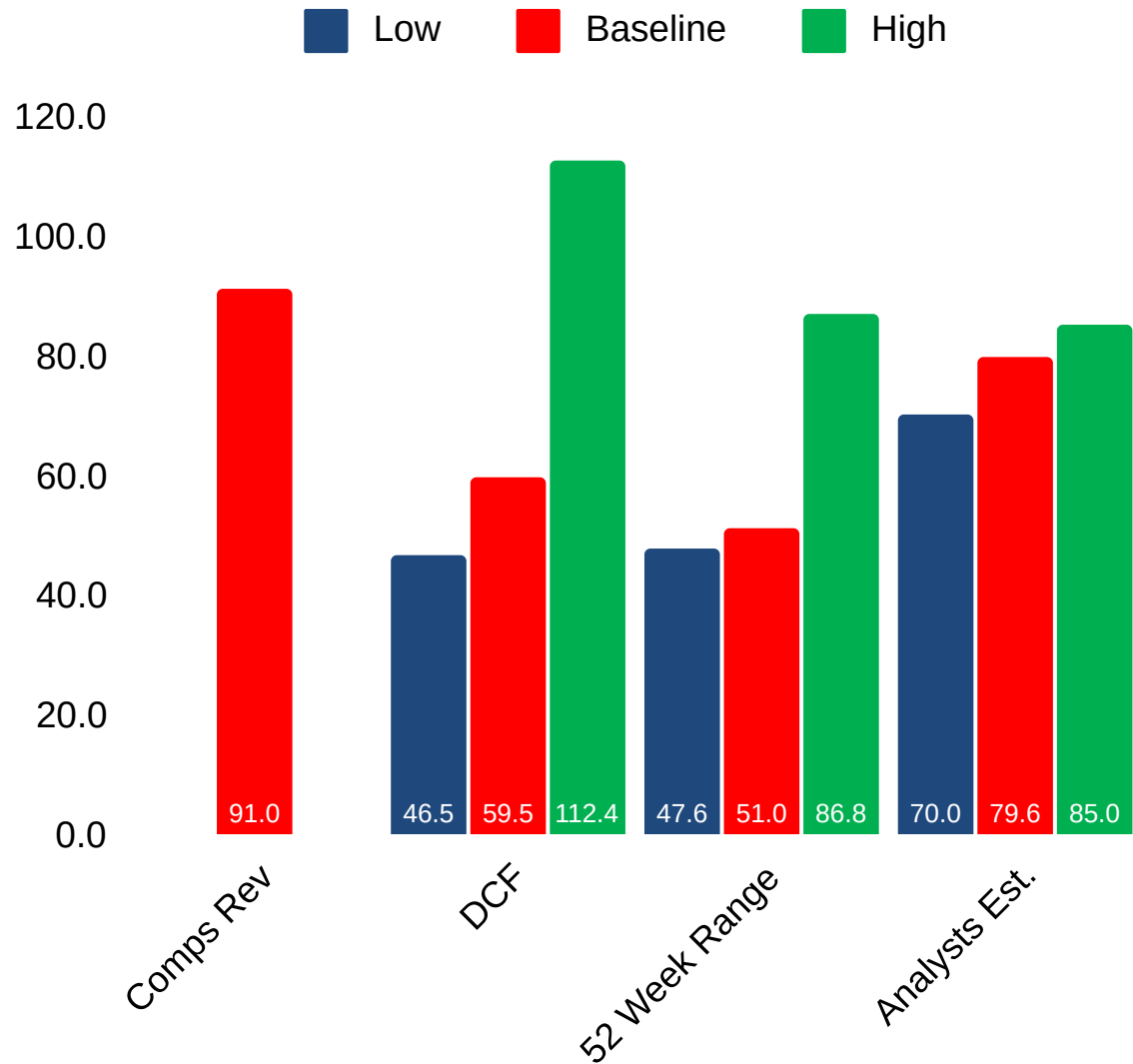
Sensitivity Analysis

		Terminal earnings growth rate				
		-0,50%	0%	0,50%	1%	1,50%
WACC	6,00%	78,08	84,52	92,13	101,27	112,43
	7,00%	67,22	72,01	77,53	83,97	91,58
	8,84%	53,06	56,10	59,51	63,35	67,71
	9,00%	52,07	55,01	58,29	61,98	66,17
	10,00%	46,53	48,92	51,56	54,50	57,79



Valuation Summary

Valuation Football Field





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Price Target & Recommendation

Price Target		
Valuation Summary		
Analysis	Price	Weight
Current price	51.1€	20%
Brokers	79.53€	20%
Comparables	91.04€	20%
DCF	59.51€	40%
Target Price	68.14€	100%

- **Buy below 55€:** Solid entry point considering its recovery potential despite challenges
- **Target: 68€:** A **33% upside** based on global market resilience and product innovation
- **Stop loss at 35€:** Protects against downside risk amid macroeconomic uncertainty